

IN THE SENATE

SENATE BILL NO. 1423

BY STATE AFFAIRS COMMITTEE

AN ACT

RELATING TO THE FAST ACT; AMENDING TITLE 67, IDAHO CODE, BY THE ADDITION OF A NEW CHAPTER 83, TITLE 67, IDAHO CODE, TO PROVIDE A SHORT TITLE, TO PROVIDE A DECLARATION OF NECESSITY, TO DEFINE TERMS, TO PROVIDE FOR A LIST OF AUTHORIZED PAYMENT STABLECOINS, REQUIRE A CERTAIN REPORT, AND PROVIDE FOR CERTAIN LEGISLATIVE AUTHORITY, TO PROVIDE FOR STATE USE OF AUTHORIZED PAYMENT STABLECOINS, AND TO PROVIDE FOR INTERSTATE COORDINATION; PROVIDING SEVERABILITY; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Title 67, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW CHAPTER, to be known and designated as Chapter 83, Title 67, Idaho Code, and to read as follows:

CHAPTER 83

FINANCIAL ACCOUNTABILITY STABLECOIN TRANSACTION (FAST) ACT

67-8301. SHORT TITLE. This act shall be known and may be cited as the "FAST Act."

67-8302. DECLARATION OF NECESSITY. The legislature finds that:

(1) Timely and efficient payment of obligations to state vendors and contractors is essential to the operation of state government;

(2) The use of payment stablecoins backed by U.S. dollar-denominated reserves may reduce transaction costs, improve financial transparency, and expedite payment delivery;

(3) The federal guiding and establishing national innovation for U.S. stablecoins act (GENIUS act), P.L. 119-27, establishes a comprehensive federal framework governing payment stablecoins, including issuer qualification, reserve standards, consumer protections, and enforcement;

(4) States are authorized under the GENIUS act to recognize and use permitted payment stablecoin issuers and to adopt substantially similar frameworks for oversight of state-level usage; and

(5) It is the purpose of this chapter to authorize the state to recognize and use privately issued payment stablecoins qualified under the GENIUS act and state-issued, public purpose-qualified stablecoins.

67-8303. DEFINITIONS. For the purposes of this chapter:

(1) "Authorized payment stablecoin" means a GENIUS-qualified or public purpose-qualified stablecoin that has been authorized for state use pursuant to section 67-8304, Idaho Code.

(2) "GENIUS-qualified stablecoin" means a payment stablecoin that is:

(a) Approved, certified, listed, or otherwise authorized under the GENIUS act, including any rule, order, or regulation issued pursuant to the GENIUS act;

(b) Fully backed on a one-to-one basis by U.S. dollars or U.S. treasury obligations;

(c) Redeemable at par value on demand;

(d) Fungible and transferable on regulated banking platforms, exchanges, or open markets;

(e) Sufficient for operational scale and market usage, demonstrating no less than two billion dollars (\$2,000,000,000) in aggregate transaction volume during the preceding twelve (12) months, as verified through publicly available disclosures, independent audits, or other reliable documentation acceptable to the state treasurer; and

(f) Issued by a corporation or entity:

(i) That is incorporated and headquartered in the United States;

(ii) Whose corporate founders are United States citizens;

(iii) Whose controlling shareholders are United States citizens;

(iv) That maintains reserves in accounts held in banks chartered within the United States or with federally regulated custodians;

(v) That is subject to quarterly independent attestations by an accounting firm that is currently registered with the public company accounting oversight board; and

(vi) That publishes monthly reserve reports disclosing asset composition and location.

(3) "Public purpose-qualified stablecoin" means any public entity stablecoin issued by a U.S. state and fully backed by U.S. dollars or U.S. treasury obligations with statutory over-collateralization. Public purpose-qualified stablecoins must provide a public benefit to Idaho through a revenue-sharing agreement or substantially similar benefit agreement.

67-8304. LIST OF AUTHORIZED PAYMENT STABLECOINS -- REPORT. (1) Annually, by January 1, the department of finance shall compile, maintain, and publish a list of payment stablecoins that are GENIUS-qualified or public purpose-qualified and have been authorized for use in state payments. The state treasurer may suspend or revoke authorization of any payment stablecoin that no longer maintains GENIUS or public purpose qualification or that presents material risk to state operations.

(2) By December 15, 2027, and annually by December 15 thereafter, the state treasurer shall submit a report to the legislature through the portal provided pursuant to section 67-705, Idaho Code. The report shall be made available to the public and shall include:

(a) Transaction volumes and estimated cost savings to the state to use authorized payment stablecoins; and

(b) How the use of authorized payment stablecoins will:

(i) Provide demonstrable fiscal benefits, revenue opportunities, or cost savings to the state;

(ii) Enhance transparency, auditability, or financial stability; or

(iii) Promote competition and innovation within U.S. financial infrastructure.

1 (3) The department of finance shall establish standards for regulatory
2 compliance. The state treasurer shall establish operational risk manage-
3 ment procedures. The state controller shall establish accounting controls
4 and audit requirements.

5 (4) Notwithstanding the provisions of this section, the legislature
6 may suspend or revoke the authorization of any payment stablecoin by adopt-
7 ing a concurrent resolution or through the enactment of a law amending or
8 superseding a list of stablecoins that have been authorized for use in state
9 payments by the department of finance.

10 67-8305. STATE USE OF AUTHORIZED PAYMENT STABLECOINS. (1) The state
11 of Idaho and the state controller may use authorized payment stablecoins to
12 make payments to vendors and contractors.

13 (2) A vendor or contractor may elect, but shall not be required, to re-
14 ceive payment in an authorized payment stablecoin.

15 (3) Payments made using an authorized payment stablecoin shall be
16 deemed valid, final, and enforceable as satisfaction of monetary obliga-
17 tions owed by the state.

18 (4) Prior to electing to receive payment in an authorized payment sta-
19 blecoin, a vendor or contractor shall be provided disclosures relating to
20 redemption rights, reserve backing, audit standards, and digital-asset cus-
21 tody risks.

22 (5) The state treasurer and the state controller shall establish secure
23 systems and procedures for the use of authorized payment stablecoins and may
24 contract with private entities to implement necessary infrastructure.

25 (6) The state treasurer shall coordinate with applicable federal reg-
26 ulators to ensure compliance with the GENIUS act and with applicable state
27 regulators to ensure compliance with public purpose regulations and shall
28 not impose issuer requirements inconsistent with federal law.

29 67-8306. INTERSTATE COORDINATION. The state treasurer and the state
30 controller, acting jointly, are authorized to enter into memoranda of under-
31 standing, cooperative agreements, or information-sharing arrangements with
32 other states and with federal agencies for the evaluation, integration, or
33 utilization of public purpose-qualified stablecoins.

34 SECTION 2. SEVERABILITY. The provisions of this act are hereby declared
35 to be severable and if any provision of this act or the application of such
36 provision to any person or circumstance is declared invalid for any reason,
37 such declaration shall not affect the validity of the remaining portions of
38 this act.

39 SECTION 3. An emergency existing therefor, which emergency is hereby
40 declared to exist, this act shall be in full force and effect on and after
41 July 1, 2026.